

UNIT 1

Human Resource Development is the part of human resource management that specifically deals with training and development of the employees in the organization.

Human resource development includes training a person after he or she is first hired, providing opportunities to learn new skills, distributing resources that are beneficial for the employee's tasks, and any other developmental activities.

Introduction

Development of human resources is essential for any organisation that would like to be dynamic and growth-oriented. Unlike other resources, human resources have rather unlimited potential capabilities. The potential can be used only by creating a climate that can continuously identify, bring to surface, nurture and use the capabilities of people. Human Resource Development (HRD) system aims at creating such a climate. A number of HRD techniques have been developed in recent years to perform the above task based on certain principles. This unit provides an understanding of the concept of HRD system, related mechanisms and the changing boundaries of HRD.

HRD concept was first introduced by **Leonard Nadler** in 1969 in a conference in US. "He defined HRD as those learning experience which are organized, for a specific time, and designed to bring about the possibility of behavioral change".

Human Resource Development (HRD) is the framework for helping employees develop their personal and organizational skills, knowledge, and abilities. Human Resource Development includes such opportunities as employee training, employee career development, performance management and development, coaching, mentoring, succession planning, key employee identification, tuition assistance, and organization development.

The focus of all aspects of Human Resource Development is on developing the most superior workforce so that the organization and individual employees can accomplish their work goals in service to customers. Human Resource Development can be formal such as in classroom training, a college course, or an organizational planned change effort. Or, Human Resource Development can be informal as in employee coaching by a manager. Healthy organizations believe in Human Resource Development and cover all of these bases.

Definitions of HRD

HRD (Human Resources Development) has been defined by various scholars in various ways. Some of the important definitions of HRD (Human Resources Development) are as follows:

- According to **Leonard Nadler**, "Human resource development is a series of organised activities, conducted within a specialised time and designed to produce behavioural changes."
- In the words of **Prof. T.V. Rao**, "HRD is a process by which the employees of an organisation are helped in a continuous and planned way to (i) acquire or sharpen capabilities required to perform various functions associated with their present or expected future roles; (ii) develop their journal capabilities as individual and discover and exploit their own inner potential for their own and /or organisational development purposes; (iii) develop an organisational culture in which superior-subordinate relationship, team work and collaboration among sub-units are strong and contribute to the professional well being, motivation and pride of employees." .
- According to **M.M. Khan**, "Human resource development is the across of increasing knowledge, capabilities and positive work attitudes of all people working at all levels in a business undertaking."

The Concept of HRD

Human resource development in the organisation context is a process by which the employees of an organisation are helped, in a continuous and planned way to:

1. Acquire or sharpen capabilities required to perform various functions associated with their present or expected future roles;
2. Develop their general capabilities as individuals and discover and exploit their own inner potentials for their own and/or organisational development purposes; and
3. Develop an organisational culture in which supervisor-subordinate relationships, teamwork and collaboration among sub-units are strong and contribute to the professional well being, motivation and pride of employees.

This definition of HRD is limited to the organisational context. In the context of a state or nation it would differ.

HRD is a process, not merely a set of mechanisms and techniques. The mechanisms and techniques such as performance appraisal, counselling, training, and organization development interventions are used to initiate, facilitate, and promote this process in a continuous way. Because the process has no limit, the mechanisms may need to be examined periodically to see whether they are promoting or hindering the process. Organisations can facilitate this process of development by planning for it, by allocating organisational resources for the purpose, and by exemplifying an HRD philosophy that values human beings and promotes their development.

Difference between HRD and HRM

Both are very important concepts of management specifically related with human resources of organisation. Human resource management and human resource development can be differentiated on the following grounds:

- The human resource management is mainly maintenance oriented whereas human resource development is development oriented.
- rganisation structure in case of human resources management is independent whereas human resource development creates a structure, which is inter-dependent and inter-related.
- Human resource management mainly aims to improve the efficiency of the employees whereas aims at the development of the employees as well as organisation as a whole.
- Responsibility of human resource development is given to the personnel/human resource management department and specifically to personnel manager whereas responsibility of HRD is given to all managers at various levels of the organisation.
- HRM motivates the employees by giving them monetary incentives or rewards whereas human resource development stresses on motivating people by satisfying higher-order needs.

The need for HRD

HRD is needed by any organisation that wants to be dynamic and growth-oriented or to succeed in a fast-changing environment. Organisations can become dynamic and grow only through the efforts and competencies of their human resources. Personnel policies can keep the morale and motivation of employees high, but these efforts are not enough to make the organisation dynamic and take it in new directions. Employee capabilities must

continuously be acquired, sharpened, and used. For this purpose, an “enabling” organisational culture is essential. When employees use their initiative, take risks, experiment, innovate, and make things happen, the organisation may be said to have an “enabling” culture.

Even an organisation that has reached its limit of growth, needs to adapt to the changing environment. No organisation is immune to the need for processes that help to acquire and increase its capabilities for stability and renewal.

HRD Functions

The core of the concept of HRS is that of development of human beings, or HRD. The concept of development should cover not only the individual but also other units in the organisation. In addition to developing the individual, attention needs to be given to the development of stronger dyads, i.e., two-person groups of the employee and his boss. Such dyads are the basic units of working in the organisation. Besides several groups like committees, task groups, etc. also require attention. Development of such groups should be from the point of view of increasing collaboration amongst people working in the organisation, thus making for an effective decision-making. Finally, the entire department and the entire organisation also should be covered by development. Their development would involve developing a climate conducive for their effectiveness, developing self-renewing mechanisms in the organisations so that they are able to adjust and pro-act, and developing relevant processes which contribute to their effectiveness.

Hence, the goals of the HRD systems are to develop:

1. The capabilities of each employee as an individual.
2. The capabilities of each individual in relation to his or her present role.
3. The capabilities of each employee in relation to his or her expected future role(s).
4. The dyadic relationship between each employee and his or her supervisor.
5. The team spirit and functioning in every organisational unit (department, group, etc.).
6. Collaboration among different units of the organisation.
7. The organisation’s overall health and self-renewing capabilities which, in turn, increase the enabling capabilities of individuals, dyads, teams, and the entire organisation.

Features of HRD

1. Systematic approach:

HRD is a systematic and planned approach through which the efficiency of employees is improved. The future goals and objectives are set by the entire organization, which are well planned at individual and organizational levels.

2. Continuous process:

HRD is a continuous process for the development of all types of skills of employees such as technical, managerial, behavioural, and conceptual. Till the retirement of an employee sharpening of all these skills is required.

3. Multi-disciplinary subject:

HRD is a Multi-disciplinary subject which draws inputs from behavioural science, engineering, commerce, management, economics, medicine, etc.

4. All-pervasive:

HRD is an essential subject everywhere, be it a manufacturing organization or service sector industry.

5. Techniques:

HRD embodies with techniques and processes such as performance appraisal, training, management development, career planning, counselling, workers' participation and quality circles.

Scope of HRD

Human resource management (HRM) deals with procurement, development, compensation, maintenance and utilization of human resources. HRD deals with efficient utilization of human resources and it is a part of HRM.

Human resource being a systematic process for bringing the desired changes in the behaviour of employees involves the following areas:

1. Recruitment and selection of employees for meeting the present and future requirements of an organization.
2. Performance appraisal of the employees in order to understand their capabilities and improving them through additional training.
3. Offering the employees' performance counselling and performance interviews from the superiors.
4. Career planning and development programmes for the employees.
5. Development of employees through succession planning.
6. Workers' participation and formation of quality circles.
7. Employee learning through group dynamics and empowerment.
8. Learning through job rotation and job enrichment.
9. Learning through social and religious interactions and programmes.
10. Development of employees through managerial and behavioural skills.

Objectives of HRD

The prime objective of human resource development is to facilitate an organizational environment in which the people come first. The other objectives of HRD are as follows:

1. Equity:

Recognizing every employee at par irrespective of caste, creed, religion and language, can create a very good environment in an organization. HRD must ensure that the organization creates a culture and provides equal opportunities to all employees in matters of career planning, promotion, quality of work life, training and development.

2. Employability:

Employability means the ability, skills, and competencies of an individual to seek gainful employment anywhere. So, HRD should aim at improving the skills of employees in order to motivate them to work with effectiveness.

3. Adaptability:

Continuous training that develops the professional skills of employees plays an important role in HRD. This can help the employees to adapt themselves to organizational change that takes place on a continuous basis.

HRD Functions:

1. Employee training and development,
2. Career planning and development,
3. Succession planning,
4. Performance appraisal,
5. Employee's participation in management,
6. Quality circles,
7. Organization change and organization development.

Benefits of Human Resource Development

Human resource development now a days is considered as the key to higher productivity, better relations and greater profitability for any organisation. Appropriate HRD provides unlimited benefits to the concerned organisation. Some of the important benefits are being given here:

- HRD (Human Resource Development) makes people more competent. HRD develops new skill, knowledge and attitude of the people in the concern organisations.
- With appropriate HRD programme, people become more committed to their jobs. People are assessed on the basis of their performance by having a acceptable performance appraisal system.
- An environment of trust and respect can be created with the help of human resource development.
- Acceptability toward change can be created with the help of HRD. Employees found themselves better equipped with problem-solving capabilities.
- It improves the all round growth of the employees. HRD also improves team spirit in the organisation. They become more open in their behaviour. Thus, new values can be generated.
- It also helps to create the efficiency culture In the organisation. It leads to greater organisational effectiveness. Resources are properly utilised and goals are achieved in a better way.
- It improves the participation of worker in the organisation. This improve the role of worker and workers feel a sense of pride and achievement while performing their jobs.
- It also helps to collect useful and objective data on employees programmes and policies which further facilitate better human resource planning.
- Hence, it can be concluded that HRD provides a lot of benefits in every organisation. So, the importance of concept of HRD should be recognised and given a place of eminence, to face the present and future challenges in the organisation.

HRD Goals

Employees and organizations will experience inevitable change. Human resource development (HRD) enhances employee competence in their jobs by increasing knowledge, abilities, and skills. In this environment, the employee will be primarily responsible for career development but the company will also have responsibilities that include clearly stating the company's corporate strategy, its goals and providing information about its business. The organisations must follow those type of strategies which help in accomplishing organisational goals with an addition to develop the human resource.

Strategy

The business strategy must be linked with the human resource strategy. It is essential to consider the differing characteristics of people when setting a plan for an organization to follow. The stage of development embryonic, high-growth, matures, or aging- that the company is in will determine the HRD goals.

Companies that are just starting out are interested in strong managers. The next stage is characterized by high growth. While vying for a place for their product in the market, they are also spending a lot of time developing their intellectual capital, i.e., their people. When at the mature stage, companies begin to put more limits on employee actions. Good managers at this stage can assemble employees to be able to perform tasks in the best way possible. Companies that are aging will be very concerned with economic survival and will need a staff that can revitalize it. Organizational culture will be strongest when the company is at the mature stage. "Culture is the pattern of basic assumptions a given group has developed in learning to adapt to both its external environment and its internal environment". Corporate commitment must exist for establishing and clearly communicating organizational culture. Managers who have well-developed human resource skills will recognize the value in a strong culture. They will be better suited and committed to aiding their staff in personal career development. There can be varying cultures across organizations. People who choose jobs that are in line with their own values and culture are likely to be more productive and well suited to work together [Blake]. Successful human resource managers must tie human resources to business strategy goals.

HRD can assist managers in adopting strategic thinking and can facilitate the implementation of business strategies. The role of human resource staff is changing all the time. Their responsibility in the future is to staff projects with people committed to fulfilling business strategy. Human resource functions such as compensation, benefits and recruiting can be out-sourced. The judgment, knowledge, and foresight needed to staff effectively and efficiently will be the most important role of the human resource manager [Weiss].

Developing the skills of this carefully chosen staff is essential to achieving business strategy. Continual education for employees is one of the most vital organizational strategic goals. When the right people are hired and their skills are developed on an ongoing basis, the human resource manager is insuring the staffing needs for future projects and goals. It only makes sense to keep good quality people and develop their skills to be exactly what you need. Their ability to adapt and change for newer projects will be a reflection of the development preparation that they have received.

Employees need to have good people skills in every organization. This certainly helps them to relate to customers. It also aids the organization by having a staff that can work well together. The development of humanrelation skills can help to improve communication, which decreases conflict in the long-run.

Better understanding and effective communication abilities will no doubt increase productivity amongst staff. This creates a more positive work environment that motivates employees. Human-relation skill development means improved performance, which is a main business strategy goal.

Assessment

Part of development includes realizing the skills and abilities that employees already have. Even the most well trained employees will perform poorly if they are not assessed properly. Reinforcing previously covered information, teaching new concepts, and introducing new ideas are development aspects that must be measured and assessed. Employees need to know what is expected of them. Acceptable performance can only be known if the employees are assessed and if the assessment information is communicated to them. Then, the measurement of what people have learned after training will be more accurate. Feedback from managers to subordinates and vice versa is essential to the development function.

Research conducted over the past 70 years indicates tests to evaluate intellectual ability, the ability to draw conclusions from verbal or numerical information, and an individual's interests can help in selecting successful managers. An employee needs to be assessed-for readiness to accept management responsibilities. Assessment centers can focus on business simulations as well as formal assessments. These programs allow the employee to develop his/her skills in a structured and focused process. This kind of development encourages promotion and increases job satisfaction. Weaknesses are identified and the employee is empowered to tailor development to fit his or her future career plans.

These centers use multiple assessment techniques, such as situational tests, tests of mental abilities, and interest inventories. They also use standardized methods to make inferences from these techniques as well as pooled judgments from multiple assessors to rate each candidate's behaviour. The assessment center prediction doesn't help very much if you are only trying to predict performance in management such as the clarification and evaluation of the promotion system in an organization. They are, however, helpful in capturing the promotion policy of the organization.

It is important to remember that no one predictor of performance is perfectly valid and some mistakes in selection are inevitable. Conscious selection of managers and lower level employees based on their fit with demonstrated job requirements, the strategic direction of a business, and organizational culture will minimize mistakes and enable you to make optimum choices.

Post development evaluation criteria and processes are essential. People-management and management of change issues are the key future training and development needs for both multinational and indigenous organizations [Tregaskis]. Garavan, Heraty, and Morley discuss the differing interest groups' perceptions on evaluation of HRD programs. Senior and line managers use quantitative measures such as optimal utilization of human resources, increased productivity and enhanced employee flexibility to evaluate HRD success. HRD specialists and individual learners place more emphasis on qualitative criteria such as the number of training days, how many and who participated, and improved performance and career options. Individual learners were primarily concerned about their enhanced employability resulting from certification, the range of competencies developed and the financial investment in their training.

Return on investment

By retaining employees, the value of their development increases. They will increase productivity and contribute to the over-all success of the organization. Their expanded knowledge makes them valuable assets for the company. Overtime, this added value will more than cover the costs of their development.

This reflects a payback model with an emphasis on quantitative and tangible results. However, senior managers, education providers, and HR and HRD specialists believe in the pay-forward model, i.e., results should accrue in

the longer term primarily as cultural change and increased incorporation of corporate goals by individual employees.

Technology

The responsibility for managing new technological advances has fallen on the human resource manager. Proper development of technical skills from understanding how to use a computer to interfacing with networks is increasingly difficult. If technical goals and strategies are expanded, the job of developing employees will be more focused.

Technological changes will alter the face of communication and also the way in which employees learn. People should be encouraged to develop their abilities individually especially with the ease of delivery of information through the Internet. Sharing knowledge, exchanging resources and learning can be improved within an organization. Interactive forums and tutorials allow learning to be done from even the most remote area. Real-time conferencing allows employees to be students in virtual classrooms.

All levels of business functions need technological development. HRD should focus on competent trainers. These will be the people with initial responsibility for working on technical skills. Then, as programs are further developed, people will welcome the technological change as it works its way into the organizational culture. For example, if the accounting department is up and running with new systems, why isn't the administrative level? Employees will welcome chances to develop their technical skills to keep the internal competitive climate more equal.

Changes in organizational structure will enable management to develop technical skills. They should allow an organization to restructure by enabling employees to learn, make contacts, and develop more efficiently. This can be done with effective strategic goals that allow development to take place. An example would be to have development designed internally, but the actual training would be out-sourced.

Electronic performance support systems (EPSS) are the latest wave in the training and development arena [Marquardt]. These systems use computers to gain access to information, save it, and distribute it throughout an organization. This helps development because employees can gain a lot of information in a short period of time on an individual and basis staff support is minimal. HRD managers must know this system and how it relates to the work procedures of the organization.

Preparation for technology is the key. Seeking out instruction from people with technological backgrounds is a first step. Check out on-line tutorials with commercial services. Seminars, conferences and training programs are the best places to get the most up to date technological development information for yourself as well as for subordinates. Many academic programs offer technological expertise. Books, magazines, and journals on technology are readily available. They also give information about the internet, EPSS and other on-line services. There are thousands of on-line sites that deal directly with technology and its impact on human resource development.

Challenges of HRD

The future looks even more exciting and threatening. Organisations are gearing up for the difficult times ahead by tapping all the resources on hand. Organisations realize that their people or employees would be one of the prime resources for establishing a competitive edge in the future.

Consequently, organisations would require workable strategies to align the individual talents/strengths of their people towards business goals. This is where Human Resources professionals can play a deciding role. They have

to face newer challenges, take up different, unprecedented roles and in the process help the business achieve its goals.

The future business scenario would be marked by the below mentioned features:

- **Rapid changes in Technology:** The world is facing a rapid change in technology in the organisations. The biggest and foremost challenge which comes before HRD is to make its workers/employees equipped with the changing technologies.
- **Transnational suppliers and customers:** Transnational suppliers and customers have now to be given a new face, as they need to play a transformational role in the changing scenario.
- **Fierce competition:** With the advent of globalisation, and entry of MNC's & rapid changes in technology the Indian organisations face a fierce competition. To stand in the market and face the competition successfully has become one of the important challenges of HRD.
- **Innovation for survival:** Nothing is permanent except change. The biggest challenge, which comes before HRD professionals, is to provide development opportunities, latest updation of skills to the present employees. To meet the challenges and fierce competition Innovation is a key to success.
- **World-class Quality-demand of customer:** In today's market Customer is the King. The products are to be manufactured as per the need, demand, want & desire of the customer. Every customer in the market looks for value of money. With increase in competition, and awareness of the customer to maintain quality at an affordable price is the need of an hour.
- **Mergers, Takeovers and Acquisitions:** With increase in competition, entry of MNC's mergers, takeovers and acquisitions are bound to take place. With cross cultural mix, with diverse culture of various employees working in an organisation the HRD department is responsible for providing all kind of developmental opportunities to its employees.
- **High product differentiation achieved by very low manufacturing costs:** Providing a distinct and a different product in the market which can satisfy the needs of the customer. With the increase in competition and ease in availability of substitutes the product should be differentiated with low manufacturing costs. Achieving a differentiation with low cost poses a challenge for HR manages.
- **Extremely short lifecycles of products/services:** As the memory of people is short so are now the lifecycles of product/services short.
- **Quicker response to market.** A good MIS accompanied with good HRD can enjoy the quicker response to market.

The new business environment also poses some challenges to the HR Professional, which he/she should gear himself for:

Countering Erosion of trust: The work place could become a very insensitive place because of business-decisions like lay-offs, Golden Handshakes, etc which might leave those lefts behind in a state of fright and suspicion. It is upon the HR Professional to take up this challenge of bringing in some sensitivity and trust into the work place.

Re-humanising: The past decade saw major efforts in the direction of humanising the work-place. The future might again require major efforts on part of the HR Professional to make bonds which have got more or less severed due to the onset of e-mail, telecommunication, flexitime etc. Employees would see less of each other due to the convenience offered by modern technology.

Managing the Contingent Work-force: A by-product of business strategy of keeping the permanent work force as small as possible is that there would be a substantial number of peoples who would be required on contingencies only. This work-force chips in a fairly big way towards the business goals without being treated as part of the organisation. The contingent component could comprise of consultants, specialists, project teams, part-timers, temporary appointee's etc. and the HR Person needs to make them feel required and appreciated.

Double-income families: The trend already is towards both the husband-wife going out of their homes in pursuit of their careers. This trend is only going to increase which would require the HRD to be responsive to their needs. An HR Department which could provide a in-house Liesureplanner, a Travel Manager, and an entertainment adviser would be appreciated.

Faster, Non-Fussier Response: The old bureaucratic ways of queries being replied to after filling up scores of forms and of policies, procedures being kept away in wraps should be challenged. A fresh air of transparency should be allowed to blow across the HRD setup.

Individual attention: As customizing is taking place in the services being offered and products being manufactured keeping in mind the needs of the discerning customer, so should the HR Professional handle the work force. Each individual is different from the other and hence deserves to handled differently. Discard those reams of policies and procedure manuals if they are not tuned to treat the individual knowledge worker in adjust manner.

B2B (Back to Basics): The HR professional would have to go back to that basic behavioural knowledge and put them to use in order to do justice to the multi-hued workforce. For quite some time these behavioural inputs have been put onto the back burner and more administrative aspects have gained importance, which in turn has been the reason for the HR function to be treated as a non-critical function.

Environmental-Scanning: The latest trends in business and in its own function need to be known to the HR professional more than ever before for adding value to the function. For this the HR professional needs to be in touch with the external environment through any medium possible.

HRD Climate

Introduction

The HRD climate of an organisation plays a very important role in ensuring the competency, motivation and development of its employees. The HRD climate can be created using appropriate HRD systems and leadership styles of top management. The HRD climate is both a means to an end as well as an end in itself.

Perception about an organisation's goals and about decisions that a manager should take to achieve these goals comes not only from formal control systems but also through informal organisation. Both the formal and informal structure combines to create what is called organisational climate.

The term 'climate' is used to, designate the quality of the internal environment which conditions in turn the quality of cooperation, the development of the individual, the extent of member's dedication or commitment to organisational purpose, and the efficiency with which the purpose becomes translated into results. Climate is the atmosphere in which individuals help, judge, reward, constrain and find out about each other. It influences morale and the' attitudes of the individual toward his work and his environment.

Organisational climate has been a popular concept in theory and research for sometime and has received a great deal of attention in the past 25 years. Guion (1973) has stated that, "The construct implied by the term 'organisational climate' may be one of the most important to enter the thinking of industrial psychologists in many years". Twelve reviews of climate literature have appeared since the mid-1960s.

Hellriegel and Slocum (1974) define organisational climate as a set of attributes which can be perceived about a particular organisation and/or its sub-systems deal with their members and environment". This definition implied that in the measurement of organisational climate:

- a) perceptual responses sought are primarily descriptive rather than evaluative;
- b) the level of inclusiveness of the items, scales 'and constructs are macro rather than micro;
- c) the units of analysis tend to be attributes of the organisation or specific sub-systems rather than the individual;
- d) the perceptions have potential behavioural consequences.

Schneider (1975) has prepared a working definition of climate:

"Climate perceptions are psychologically meaningful molar descriptions that people can agree characterize a system's practices and procedures. By its practices and procedures a system may create many climates. People perceive climates because the molar perceptions function as frames of reference for the attainment of some congruity between behaviour and the system's practices and procedures. However, if the climate is one, which rewards and supports individual differences, people in the same system will not behave similarly. Further, because satisfaction is a personal evaluation of a system's practices and procedures, people in the system tend to agree less on their satisfaction than on their description of the system's climate".

By its very nature, 'climate cannot be described concretely. Some alternative characteristics are as follows:

- Focus on results versus focus on following work
- Individual accomplishment versus being a member of the team
- Initiative and risk-taking versus not rocking the boat
- Individual gains versus dealing with people vs avoidance of unpleasant actions
- Tough mindedness versus dealing with people vs avoidance of unpleasant actions
- The relative importance of participating management versus authoritarian management

HRD Climate and Organisational Climate

HRD climate is an integral part of organisational climate. It can be defined as perceptions the employee can have on the developmental environment of an organisation. This developmental climate will have the following characteristics (Rao and Abraham, 1986):

- A tendency at all levels starting from top management to the lowest level to treat the people as the most important resource
- A perception that developing the competencies in the employees is the job of every manager/supervisor
- Faith in the capability of employees to change and acquire new competencies at any stage of life
- A tendency to be open in communications and discussions rather than being secretive (fairly free expression of feelings)
- Encouraging risk-taking and experimentation
- Making efforts to help employees recognize their strengths and weakness through feedback.
- A general climate of trust

- A tendency on the part of employees to be generally helpful to each other and collaborate with each other
- Team spirit
- Tendency to discourage stereo types and favouritism Supportive personnel policies
- Supportive HRD practices including performance appraisal, training, reward management, potential development, jobrotation, career planning, etc.

What Contribute to HRD Climate?

The following factors may be considered as contributing to HRD climate:

1) Top Management Style and Philosophy: A developmental style, a belief in the capability of people, a participative approach, openness and receptivity to suggestions from the subordinates are some of the dimensions that contribute to the creation of a positive HRD climate.

2) Personnel Policies: Personnel policies that show high concern for employees, that emphasise equity and objectivity in appraisals, policies that emphasise sufficient resource allocation for welfare and developmental activities, policies that emphasis a collaborative attitude and trust among the people go a long way in creating the HRD climate.

3) HRD Instruments and Systems: A number of HRD instruments have been found to generate a good HRD climate. Particularly open systems of appraisal with emphasis of counselling career development systems, informal training mechanisms, potential development systems etc. contribute to HRD climate.

4) Self-renewal Mechanisms: Organisations that have built in selfrenewal mechanisms are likely to generate a positive HRD climate.

5) Attitudes of Personnel and HRD staff: A helpful and supportive attitude on the part of HRD and personnel people plays a very critical role in generating the HRD climate. If the personnel behaviour of any of these agents is not supportive, the HRD climate is likely to be vitiated.

6) Commitment of Line Managers: The commitment of line managers to the development of their subordinates is a very important determiner of HRD climate. If line managers are willing to spend a part of their subordinates, it is likely to have a positive impact.

HRD climate in Indian Organisation

The HRD climate as described in some of the Indian organizations is described below:

1. Venture Finance Company (VFC): VFC is a professionally managed venture finance company, which enjoys both national and international patronage. It has provided managerial and financial support to over 45 companies. The total manpower currently is 34 out of which 26 are managerial cadre the remaining are clerical support staff. This is the smallest of the organizations studied. VFC does not have a separate department for HRD. Currently there is one executive who looks after HRD and one-deputy manager personnel and administrative matters.

2. Consumer Products Company (CPC): This CPC is in consumer products. Talent recruitment, retention and excitement are the focus in HR. Company aims at fully establishing itself as an FMCG company. E-commerce, E-initiatives, diversification are some future possible areas of work. Total number of employees is about 800. A corporate personnel is headed by a President- HR (who also looks after an SBU besides all HR activities). There are 3 Deputy General managers (personnel administration, TQM, and health services), 1 manager estates, recruitment, and other HR issues, 1 civil manager, 2 assistant managers (payroll and training and performance management), 1 executive (recruitment, 360 feedback and other matters), 1 senior officer (secretary to President & compensation manager) and 1 officer 7 (administrative support in training, resignations, exit interviews, transfer

etc). The Human Resources Function in this company is highly differentiated. The President- HR integrates it at the top level. There is no strong departmentation but specialization at individual level and a high degree of flexibility. The Managers in-charge of appraisals and training devote their full attention to these functions. OD, Career Planning, Potential appraisal are not focused at present. TQM and Feedback and Counselling are well integrated into the other systems.

3. Multinational Electronics Manufacturing Company (MEMC): MEMC is a world's leading supplier of electrical and electronic connectors and interconnection systems. Headquartered in the USA, MEMC has about 46,000 employees all over the world. It is a world-class technology leader and is frequently named as one of the top 50 patent-holding corporations in the world. Total number of employees in this company at the time of this study were about 600. The HR department had 6 employees, 1 Manager, 1 Asstt. Manager, 1 Senior Executive, 1 Officer, 1 Junior Officer, and 1 receptionist. The Head of HR integrates HRD function with the other HR Systems. While there are no separate departments, there are individual's in-charge of different HR systems.

4. Tyre Manufacturing Company (TMC): TMC's market share is considered to be one of the top in the tyre industry in India. Total number of employees in one of its plants studied is about 1400. The HR department has 21 employees, who look after personnel, safety, time, office, welfare etc. There is no HRD department separately. It is not a differentiated function. After the HRD audit the company decided to establish a separate HRD unit and integrate it with the personnel function at the plant level. At the top level in the corporate office there is a high concern for a competence building to meet changing needs of the industry.

5. Indian Multinational Company (IMC): This company is owned by an Indian Business House and is located in another country. It is a 8 manufacturing unit and employs a few Indians. It is the best rated company in the country where it is located. It is the first to get ISO-14001 and QS-9000 accreditation. 85% of its products are exported to about 30 countries (like UK, France, Spain, Italy, Israel, Etc) and most of its customers across the world consider it to be highly quality conscious and customer driven. It plans to double its production in the next five years. It intends to do so with an addition of less than 20% to its manpower. It had about 300 local employees and about 40 Indian Managers. The HR Department had a total of 31 staff of which there is 1 Deputy General Manager heading the functions; 3 officers are looking after training, personnel matters and safety. Of the remaining 9 are drivers, 2 receptionists, 4 safety technicians, 2 agricultural engineers; 1 nurse and other miscellaneous staff.

6. Automobile Manufacturing Company (AMC): This company envisions itself to be a world class organization in the next few years. Competition is on increase with the entry of multinationals and JVs. Total number of staff at managerial levels were over 1,700 technical and nontechnical personnel. HRD staff consisted of 16 members. 6 had an engineering background, which gives them a technical advantage in the business of the company. Of them only two looked after Training and development and the rest looked after other HR functions including recruitment, induction etc.

7. Cement Manufacturing Units (CMUs): CMU-1 had a total of 154 staff and officers and 130 workmen. Of the 154 staff 27 are in Senior Managerial Cadre, 69 are Supervisors and Officers and 58 are Assistants. 77 of the 130 workers are skilled. A Deputy General manager Personnel & HRD who integrates both the functions manages the HR function. A manager and an officer assist him. CMU-2 is a market leader and is expected to be the largest single location manufacturing plant when its plans are achieved. The plant had employee strength of 450 workmen and 782 Officers. The officers include those of Marketing. There were 10 members in Personnel and HR department and 17 in welfare department.

HRD Practices in Indian Industries

The HRD aims at helping people to sharpen their capabilities and acquire competencies. The process of acquisition of capabilities and competencies is facilitated by HRD mechanisms like performance appraisal, training, OD, feedback and counseling, potential development, job-enrichment, rewards etc. These HRD subsystems help in developing a positive HRD climate indicated by openness, confrontation, trust, authenticity, pro-activity, autonomy and collaboration. It helps in developing competent, committed and satisfied workforce, an atmosphere of trust and authenticity and teamwork in the organization which ultimately helps the organization to achieve its goals of higher productivity and growth; efficiency and effectiveness; and more profit and better image.

Accordingly, an effort has been made to study the HRD sub-systems and HRD climate in Indian Industries. No program or no policy can be effective unless the top management is committed to implement it whole-heartedly. The existence of HRD department in an organization is therefore a pre-requisite for the success of entire HRD system. Keeping all these factors in mind the chapter is divided in three parts:

- a) HRD Sub-systems practiced by Indian Organizations
- b) HRD Climate in these organizations
- c) HRD Outcomes

HRD Sub-Systems Practised by Indian Organizations

The following HRD sub-systems are generally practiced in Indian organizations:

1. HRD Departments

HRD has been evolved as a separate function in early 90's. Separate HRD department is expected to contribute to the development of HRD processes. Rao and Abraham (1984) on the basis of his survey of 53 companies found that 30 per cent of them had maintained a separate HRD department. In other, 38 per cent the HRD function was operational as a part of the personnel department. Similarly, a study of 14 large public and private sector organizations by Rao (1986) indicated that only three of them did not have separate HRD departments. The same was confirmed by Jain (1996) in his study of major Public Sector Organizations in India. Further, Jain (2013) made a study of the Pharmaceutical firm and found that HRD department existed in that company. As per the information gathered from the web, it has been found that some of the pharmaceutical companies like Ranbaxy, Panacea, Abbott etc. also have separate HRD departments. It appears that HRD departments exist in almost all large public and private sector organizations. It also indicates that the top management believes in the development of its human resources as its assets.

2. Performance Appraisal

Performance appraisal is probably one of the oldest yet most imperfect of managerial activities. It is a formal exercise which is necessary for all important decisions relating to such as placement and promotion, remuneration and reward. It also helps in long-term manpower planning organization development. Gordon, L. Simpson (2004), in his article —Performance Appraisal- an Important Managerial Responsibility viewed performance appraisal as a beneficial process in HRD. He opined that Performance Appraisal should be accepted as a normal management responsibility to review the performance of all employees and discuss its results with them regularly.

A study conducted by Rao and Abraham (1986) indicates that in the 53 organizations surveyed by them, about 27 per cent of them have mainly development as the objective of performance appraisal. While 49 per cent emphasize on development and control of employee behaviour as objective of Performance Appraisal. There are three main procedures for making relative performance judgments, namely, paired comparisons, ranking and forced distribution. Besides, modern methods including graphic trait rating scales, check lists, critical incidents and behavioral anchored rating scales are also used for Performance appraisal.

Jain (2013) in his study shows that Performance Appraisal is used as HRD sub-system in BHEL and NFL. Grading and Ranking method was found to be widely used. Further, performance appraisal was found to be quite useful in improving individual and organizational efficiency and productivity. A survey of 87 Pune-based by Anandram (1987) revealed that only 15 per cent of small and medium scale have performance appraisal. Study of 60 companies by Basu (1985) showed that about 83 per cent of companies were using formal systems of Performance Appraisal. Many organizations are use the appraisal data for work planning, strengthening superior-subordinate relationship etc. Similar results have been indicated in the study conducted by Jain (2014). Study by the researcher shows that a number of firms in Pharmaceutical industry are using modern methods of appraisal like 360 degree feedback etc. It can be concluded that the Indian organizations are using appraisal systems for various objectives indicated above. Many organizations are revising their appraisal systems to make it more effective.

3. Potential Appraisal

In most Indian organizations, Pareek and Rao (1981), admit that most organizations use performance appraisal form to collect data on the potential of the employee. But past performance is not necessarily an indication of future potential. In fact, the identification of an individual's potential is probably the most difficult aspect of performance assessment. Jain (1996) in his study of HRD Practices in Indian Industries affirms that potential appraisal is not being used in its true sense in BHEL and NFL. The researchers on the basis of various studies made in MNCs and other pharmaceutical companies as well as public sector organizations found that these organizations also do not use Potential Appraisal as a HRD sub-system in their organizations. Potentials are, however, examined on the basis of Performance Appraisals, job descriptions and employees' disclosures. The surveys conducted by Rao (1982) and Rao and Abraham (1986) indicate that systematic potential appraisal is not followed in Indian organizations. Even organizations like Larsen & Toubro are still in the process of establishing such systems. It can be inferred that potential appraisal is still to be implemented in its true spirit by most of the organizations.

4. Feedback and Counselling

Counselling helps to strengthen the superior-subordinate relationships and enables employees to recognize their strengths and weaknesses. In many organizations the counselling is used to provide feedback in a threatening way or warn them not to repeat unsatisfactory behavior on their part. This is not right. Giving feedback, giving warnings, enforcing norms etc. are part of a manager's job but Counselling helps an employee to recognize their potentials and prepares him for his own development. The survey by Rao and Abraham (1986) indicate that 41 out of the 53 (that is, 80 per cent) companies surveyed, require their executives to counsel their subordinates, The high percentage of organizations requiring their executives to counsel their subordinates is a very deceptive indicator of the practice of counselling. They pointed out that these organizations do not really have performance counselling. Rather, a sizeable number of organizations use counselling for more than one purpose. Contrarily, the research made by the researcher, indicates that many of the companies are now using this sub-system more effectively to improve employee performance and attain organizational goals.

5. Training

Training is the most important sub-system of HRD as it directly contributes to the development of human resources. Therefore, it is also the most widely used HRD mechanism in the country. Some organizations use training and HRD synonymously. Training is, therefore, essential because of the changes in technology, managerial and behavioural dimensions. Training needs are to be identified from the other subsystems of HRD such as performance appraisal, performance analysis and counselling and potential appraisal. In an article — a critical look at Training in Industry, D'Souza (1986) contends that the return of investment on training is very poor, because people are sent for training in many industries as —fringe benefits and very little is being done to make use of the learning once people return from a training programme. Similar conclusions were arrived at by Rao and Abraham (1986) in a study of HRD climate of 42 organizations. The respondents replied in negative to the questions of utilizing opportunity to try out what they have learned, and sponsoring employees on the basis of 'genuine training needs'. A study made by Jain (1996) in BHEL and NFL also indicated that the two public sector organizations use Training as HRD sub-system in their organizations but training needs are not always analyzed before selecting employees for training. Again, a query from the various organizations by the researcher revealed that they are providing training to their employees for improving their performance, updating their skills and to take up new responsibilities at the time of promotions. But the respondents were of the opinion that analyzing the employees need for training and providing them opportunity to apply the new skills are not properly followed. It can be stated that the training, although, widely practiced sub-system of HRD needs to be integrated and implemented properly.

6. Career Planning And Development

Career advancement is the prime motivating factor for most managers. They want to know where they would be going in the organization after three, five, 10 years from their joining. A meaningful career planning system should be based on potential appraisal. Career planning and development can become an effective tool for development of the employee and a key factor in the HRD system (Philip, 1987) The inquiry made by the researcher shows that the large organizations like Ranbaxy make career development plans for their employees but the medium-sized organizations of Scientific goods industry and some pharmaceutical firms do not have formal career development plans for their employees. In fact, both performance appraisal and career development have potential for developing human resources. Employee potential can be increased by linking them together to meet the needs of both individual employees and the organization. It is, therefore, apparent that the organizations willing to upgrade the competencies of their human resources must pay attention to the development of these sub-systems.

7. Rewards

Rewards play an important role in setting up a development oriented climate because it has a acts as motivating force for those who are good performers. Singh (1983) says that salary is not enough to produce an adequate impact on enhancement of performance, reduction of absenteeism and retaining of skilled employees. To attract competent persons from outside, it is also increasingly felt that reward systems should help attracting the individuals with requisite the knowledge, ability and talents and retain productive employees in the organization as precious assets. The rewards should be adopted as HRD sub-system in every organization. The rewards in the form of appreciation letters, citations and higher responsibilities can make positive impact. Almost all the pharmaceutical organizations, organizations in public and private sector (Jain, 1996) and small and medium sized firms of scientific goods industry give rewards to their employees for their good performance. The researcher feels that the rewards should be linked with performance to help the organization to attain its goals.

8. Organization Development

Organizations are like individuals and families. They need people who can solve their problems. They need to develop a system where people learn to organize themselves to cope with the demands of a changing environment Pareek (1975) defines OD as a planned effort, initiated by process specialist(s) to help an organization develop its diagnostic skills, coping capabilities, linkage strategies in the form of temporary and semipermanent systems, and a culture of mutuality. Organization development is a long-range effort to introduce planned change which helps in increasing organizational effectiveness. Rao and Abrahm (1986) in their survey of 53 organizations reported that 44 per cent of them seem to have some OD activity actually going on and most of them seem to focus on —team building and —role clarity exercises. Other OD activities include interpersonal sensitivity, personal growth and stress management

9. Human Resources Information System

In an age of rapid technological changes, automation and computerization it has become necessary that information on human resources is stored for various purposes. A human resources information system (HRIS) can be defined as —an information system that monitors, controls and influences the movement of human beings from the time they indicate their intention to join an organization till they separate from it (Chandrasekhar, 1986). It was ascertained by the researcher that many pharmaceutical companies are using human resources information system (HRIS) in their organizations as per their needs. Many organizations are using job portals, employee portals, e-recruitment, e-learning, e-training, HR software which are creating transparency and are building an atmosphere of trust and openness. Policies are now most clearly available through computer networking. New software are being developed to store employee data, evaluate various information and utilize them for organization.

UNIT 2

PRINCIPLES IN DESIGNING HRD SYSTEM

There have been many queries regarding the principles of Human Resource development. Many a times we get confused between principles and functions of HRD however there is a clear cut distinction between the two. The main functions of HRD are Training, Personal development, Organisational development, Career planning and development, Change Management. The principles therefore are not the functions.

HRD systems must be designed differently for different organizations. Although the basic principles may remain the same, the specific components, their relationships, the processes involved in each, the phasing, and so on, may differ from one organisation to another organisation.

Designing an integrated HRD system requires a thorough understanding of the principles and models of human resource development and a diagnosis of the organisation culture, existing HRD practices in the organisation, employee perceptions of these practices, and the developmental climate within the organisation.

The following principles related to focus, structure, and functioning should be considered when designing integrated HRD systems.

Focus on enabling capabilities: The primary purpose of HRD is to help the organisation to increase its “enabling” capabilities. These include development of human resources, development of organisational health, improvement of problem solving capabilities, development of diagnostic ability (so that problems can be located quickly and effectively), and increased employee productivity and commitment.

Balancing adaptation and change in the organisational culture: Although HRD systems are designed to suit the organisational culture, the role of HRD may be to modify that culture to increase the effectiveness of the organisation. There always has been a controversy between those who believe that HRD should be designed to suit the culture and those who believe that HRD should be able to change the culture. Both positions seem to be extreme. HRD should take the organisation forward, and this can be done only if its design anticipates change and evolution in the future.

Attention to contextual factors: What is to be included in the HRD systems, how is it to be sub-divided, what designations and titles will be used, and similar issues should be settled after consideration of the various contextual factors of the organisation—its culture and tradition, size, technology, levels of existing skills, available support for the function, availability of outside help and so on.

Building linkages with other functions: Human resource development systems should be designed to strengthen other functions in the company such as long-range corporate planning, budgeting and finance, marketing, production, and other similar functions. These linkages are extremely important.

Balancing specialisation and diffusion of the function: Although HRD involves specialised functions, line people should be involved in various aspects of HRD. Action is the sole responsibility of the line people, and HRD should strengthen their roles.

Ensuring respectability for the function: In many companies, the personnel function does not have much credibility because it is not perceived as a major function within the organisation. It is necessary that HRD be instituted at a very high level in the organisation and that the head of the HRD department is classified as a senior manager. Both the credibility and usefulness of HRD depend on this.

Balancing differentiation and integration: The human resource development function often includes personnel administration, human resource development and training, and industrial relations. These three functions have distinct identities and requirements and should be differentiated within the HRD department. One person may be responsible for OD, another for training, another for potential appraisal and assessment, etc. At the same time, these roles should be integrated through a variety of mechanisms. For example, inputs from manpower planning should be available to line managers for career planning and HRD units for potential appraisal and development. Data from recruitment should be fed into the human resources information system. If salary administration and placement are handled separately, they should be linked to performance appraisals. Differentiation as well as integration mechanisms are essential if the HRD system is to function well.

Establishing linkage mechanisms: HRD has linkages with outside systems as well as with internal sub-systems. It is wise to establish specific linkages to be used to manage the system. Standing committees for various purposes (with membership from various parts and levels of the organisation), task groups, and ad hoc committees' for specific tasks are useful mechanisms.

Developing monitoring mechanisms: The HRD function is always evolving. It therefore requires systematic monitoring to review the progress and level of effectiveness of the system and to plan for its next step. A thorough annual review reappraisal every three years will be invaluable in reviewing and planning the system. It may be helpful to include persons from other functions in the organisation in the HRD assessment effort.

Staffing and HRD function

INTRODUCTION

To be full-fledged strategic partner with senior management, HR executives should impel and guide serious discussion of how the company should be organized to carry out its strategy. HR must take stock of its own work and set clear priorities. At any given moment, the HR staff might have a dozen initiatives in its sights such as pay- for performance, global teamwork, and action-learning development experiences. But to be truly tied to business outcomes, HR needs to join forces with operating managers to systematically assess the impact and importance of each one of these initiatives. Which ones are really aligned with strategy implementation?

Which ones should receive immediate attention and which ones can wait? Which ones, in short, are really linked to business results?

STAFFING HR FUNCTION

- Quality improvement depends on high-quality personnel at all levels;
- Staff retention is important to support growth;
- The balance of motivation and cost reduction requires a clearly thought out reward strategy that has maximum impact without sending costs out of control;
- New HR technology can be used to capture process efficiencies and control costs;
- HR specialists will become subject experts in a team of internal consultants rather than members of the old-style hierarchy.

THE NEW MANDATE FOR HR

HR should not be defined by what it does but by what it delivers- results that enrich the organization's value to customers, investors and employees. Ulrich believes that for HR to deliver excellence it should:

- become a partner with senior and line managers in strategy execution, helping to improve planning from the conference room to the market place;
- become an expert in the way work is organized and executed, delivering administrative efficiency to ensure that costs are reduced while quality is maintained;
- become a champion for employees, vigorously representing their concerns to senior management and at the same time working to increase employee contribution, that is, employees' commitment to the organization and their ability to deliver results;
- become an agent of continuous transformation, shaping processes and a culture that together improve an organization's capacity for change;
- communicate the importance of the soft, people-centred issues; define HR deliverables and be accountable for them; and
- invest in innovative HR practices.

HR SPECIALISTS AS STRATEGIC PARTNERS

As a strategic partner, the HR specialist performing the following functions:

1. *Shared mind-set*: To what extent does our company have the right culture to achieve our goals?
2. *Competence*: To what extent does our company have the required knowledge, skills, and abilities?
3. *Consequence*: To what extent does our company have the appropriate measures, rewards and incentives?
4. *Governance*: To what extent does our company have the right organization structure, communication systems and policies?
5. *Capacity for change*: To what extent does our company have the ability to improve work processes, to change and to learn?
6. *Leadership*: To what extent does our company have the leadership to achieve its goals?

KEY FUNCTIONS

The strategist role

As strategists, HR practitioners address major long-term issues concerning the management and development of people and the employment relationship. They are guided by the business plans of the organization but they also contribute to the formulation of the business plans. This is achieved by ensuring that top managers focus on the human resource implications of their strategies. HR strategists persuade top managers that they must develop plans that make the best use of the organization's human resources in terms of the required core competences. They emphasize, in the words of Hendry and Pettigrew (1986), that people are a strategic resource for the achievement of competitive advantage.

A strategic approach to managing people as described above means that HR strategists strive to achieve strategic integration and fit. Vertical integration or fit takes place when HR strategies are linked to and support business strategies. Horizontal integration or fit is achieved when a range or 'bundle' of coherent, interconnected and mutually reinforcing HR strategies are established.

The business partner role

As business partners, HR practitioners share responsibility with their line management colleagues for the success of the enterprise. As defined by Tyson (1985), HR specialists as business partners integrate their activities closely with top management and ensure that they serve a long-term strategic purpose, and have the capacity to identify business opportunities, to see the broad picture and to see how their HR role can help to achieve the company's business objectives.

HR practitioners in their role as business partners are aware of business strategies and the opportunities and threats facing the organization. They are capable of analysing organizational strengths and weaknesses and diagnosing the issues facing the enterprise and their human resource implications. They know about the critical success factors that will create competitive advantage and they can draw up a convincing business case for innovations that will add value. In becoming a business partner, however, HR must still deliver effective administrative services.

The innovator role

Strategic approach to HRM will mean that HR specialists will want to innovate- to introduce new processes and procedures that they believe will increase organizational effectiveness. The need for innovation should be established by processes of analysis and diagnosis which identify the business need and the issues to be addressed. 'Benchmarking' can take place to identify 'best practice' as adopted by other organizations. But in the interests of achieving 'best fit', the innovation should meet the particular needs of the business, which are likely to differ from those of other 'best practice' organizations. It has to be demonstrable that the innovation is appropriate, beneficial and practical in the circumstances, and can be implemented without too much difficulty in the shape of opposition from those affected by it or the unjustifiable use of resources- financial and the time of those involved.

The danger is that HR people may go in for 'impression management'- aiming to make an impact on senior managers and colleagues through publicizing high-profile innovations. HR specialists who aim to draw attention to themselves simply by promoting the latest flavour of the month, irrespective of its relevance or practicality, are falling into the trap.

The change manager role

As Purcell (1999) has pointed out, "We need to be much more sensitive to the processes of organizational change and avoid being caught in the trap of logical choice". Johnson and Scholes (1993) in their classic book on strategy, suggest that 'organizations that successfully manage change are those that have integrated their human resource management policies with their strategies and the strategic change process'.

Strategies involve change, and failure to implement strategies often arises because the changes involved have not been managed effectively. HR practitioners can play major part in developing and implementing organizational change strategies. They must pay particular attention to managing change when implementing HR initiatives. This means considering:

- who will be affected by the change;
- how they will react to it;
- barriers to implementation and how they will be overcome;
- resource requirements for implementing change (these resources include the commitment and skill of those involved in the change as well as people, time and money);
- who is available to champion the change;
- how people will be involved in the change process, including the formulation as well as the implementation of changed policies;
- how the purpose and impact of change will be communicated to all concerned; what different skills and behaviours will be required and how they are to be developed;
- how the change process will be monitored;
- how the effectiveness of the change will be measured;
- what steps will be taken to evaluate the impact of change.

HR COMPETENCIES

The three competencies HR staff should possess if they want to function as strategic business partners as defined by Morton (1999) are:

1. Knowledge of the business:

- strategic capability;
- financial capability;
- technological capability.

2. Knowledge of HR practices:

- staffing;
- development;
- appraisal;
- rewards;
- organization design;
- communication.

3. Management of change:

- knowledge of change processes;- skills as change agents;
- ability to deliver change.

THE STRATEGIC ROLE OF THE HR DIRECTOR

HR directors have a key role in strategic HRM, especially if they are- as they should be- on the board. They are there to envision how HR strategies can be integrated with the business strategy, to prepare strategic plans, and to oversee their implementation. They should play a major part in organization development and change management and in the achievement of coherence in the different aspects of HR policy. HR directors who will most probably play a full strategic role as business partners are likely to be:

- very much part of the top management team;
- involved in business planning and the integration of human resource plans with business plans;
- well placed to exert influence on the way in which the enterprise is organized, managed and staffed-all with a view to helping it achieve its strategic objectives;
- professionally competent in HR techniques; however, their contribution and credibility will depend mainly on their business awareness and skills and their ability to play a full part as members of the top team;

- involved in resourcing at top and senior levels and in so doing be in a strong position to improve organizational effectiveness and, therefore, bottom-line performance;
- able to convince others of the need for change and to act as champions of change and as effective change agents;
- involved in shaping corporate culture and values;
- fully aware of the need to develop a vision of what the HR function exists to do, to define its mission, to provide leadership and guidance to the members of the function (without getting over-involved in day-to-day HR matters) and to maintain the quality of the support that the HR function provides to line managers;
- enablers and facilitators, but ones who are well placed to make a significant contribution to end-results by adopting an innovatory approach to the improvement of organizational effectiveness and by intervening as necessary on any matters where there are HR implications that will affect performance;

HRD interventions

The HRD interventions are categorized as ‘formal interventions’ and ‘informal activities’ with both requiring collaboration between HRD practitioners and senior/line managers to differing degrees depending on the organizational context. Although these requirements are biased to multinationals, many affect other types of organization to a lesser or greater extent. For instance, non-profit organizations operating in several countries or regions and competing for funding need senior managers to have effective global leadership skills; and, all organizations operating in global markets, from small business to multinationals, need to understand about change management. Formal interventions and activities have been categorized as training and development, career development or organizational development (see key in table). Arguably, all informal activities are forms of organizational development which depend on a mix of facilitation and coaching skills by HRD practitioners and line managers.

Organizational requirements	HRD interventions and practices
number of employees, primarily managers, relocating abroad continues to increase. However, there is a lack of consistency in preparing managers for international assignments. For instance, many US companies are sending employees abroad without any preparation	• Training local, indigenous managers in modern management techniques and behaviours (T&D) • Cross-cultural training for managers: educating them in 'cultural fluency' (i.e. the ability to work effectively within and between multicultural environments) (T&D) • Increasing the cultural competence of employees generally (OD, T&D) • Preparing employees and managers for expatriation (T&D, CD) Informal • Facilitating the activities of global teams • Preparing employees and managers for expatriation
Managing a diverse workforce Internal and external labour markets are becoming increasingly diverse. For instance: the skills needs of immigrant workers; the rising number of female workers; employees working beyond the traditional retirement age. It is likely that those organizations with cultures that support diversity will be better positioned to retain the best talent needed to remain competitive. There is also a need to improve basic literacy and numeracy skills among low-skilled and low-paid employees	Formal • Diversity education and training programmes. These communicate the importance of diversity and help to remove barriers, such as employees not understanding the value of diversity (T&D) • Developing cross-cultural team working and communication skills. Cross-cultural training, traditionally restricted to preparing employees for expatriate assignments, can be used to help domestic employees interact with colleagues from diverse cultural backgrounds (T&D, OD) • Training immigrants in technical and customer service skills (T&D) • Reskilling and retraining of older employees beyond the traditional retirement age (T&D) • Providing employees with opportunities to improve their basic literacy and numeracy skills to give them the potential to break out of the low-wage cycle (CD, T&D) Informal • Promoting cultural sensitivity • Helping employees to understand how they can learn from team experiences
Updating core competencies and skills The core competencies and skills needed by employees are changing rapidly as new forms of technology are introduced, new products and services are developed, new markets are opened up, and suppliers are sourced from around the globe	Formal • Systems for the identification and monitoring of core competencies and skills (OD) • Training and development programmes to enable employees to upgrade or learn new competencies and skills (T&D) • The promotion of lifelong learning (CD) • Developing alliances with regional and national institutions (e.g. Learning Skills Councils in Britain; labour-market partnerships in the US) (OD) Informal • The promotion of lifelong learning and facilitation of informal workplace learning

Organizational requirements	HRD interventions and practices
Innovation The need for innovative products and services. The life cycles of many products and services are becoming shorter and shorter, which places increasing demands on the ability of organizations to be innovative.	Formal • Developing a global culture of continuous learning which instils employees with a spirit of innovation (OD) • Helping employees to unlearn old behaviours and skills and to learn new ones (T&D, OD) • Creating new ways to work (OD) Informal • Promoting the role of informal groups and social networks as sources of innovation and problem-solving • Facilitating the activities of informal groups and social networks • Helping employees to unlearn old behaviours and skills and to learn new ones
Knowledge management systems Knowledge management (KM) systems are needed to ensure the effective creation and sharing of knowledge within an organization and transfer around the globe. The latter, in particular, requires sophisticated technology.	Formal • Developing employee competencies in knowledge creation, sharing, and transfer (T&D) • Creating a learning infrastructure that maximizes opportunities for organizational learning and knowledge sharing between organizations (OD) • Improving employee familiarity with technology-based KM systems through the utilization of new technologies to deliver e-learning programmes around the globe (T&D, OD) Informal • Facilitating knowledge management processes involving both electronic and face-to-face interactions • Identifying and improving opportunities for knowledge creation, sharing, and transfer

Objectives of Career Development

Career development has become primary activity of organizations in order to create a pool of talented employees as well as enhance their career satisfaction. Along with this, it is also considered as an organized and planned process to improve the efficiency of organization. In common terms, we may look upon it as an effort to strike a balance between organizational workforce requirements and individual career needs. Employees have their own personal desires and aspirations and need to effectively utilize their personal skills to attain their career goals and objectives. On the other hand, organizations have needs for staffing and meeting present and future human resource requirements. A career development system is a mechanism that takes both the parties in to consideration and helps them meet their requirements as well as objectives.

Objectives of Career Development Systems

- **Fostering Better Communication in Organization:** The main objective of designing a career development system is to foster better communication within the organization as a whole. It promotes communication at all levels of organizations for example manager and employee and managers and top management. Proper communication is the lifeblood of any organization and helps in solving several big issues.
- **Assisting with Career Decisions:** A career development system provides employees as well as managers with helpful assistance with career decisions. They get an opportunity to assess their skills and competencies and know their goals and future aspirations. It helps them give a direction so that they can focus on achieving their long term career goals.
- **Better Use of Employee Skills:** A career development system helps organization make better use of employee skills. Since managers know their skills and competencies and therefore, can put them at a job where they will be able to produce maximum output.
- **Setting Realistic Goals:** Setting realistic goals and expectations is another main objective of a career development system. It helps both employees and organization to understand what is feasible for them and how they can achieve their goals.
- **Creating a Pool of Talented Employees:** Creating a pool of talented employees is the main objective of organizations. After all, they need to meet their staffing needs in present and future and a career development system helps them fulfill their requirements.

- **Enhancing the Career Satisfaction:** Organizations especially design career development systems for enhancing the career satisfaction of their employees. Since they have to retain their valuable assets and prepare them for top notch positions in future, they need to understand their career requirements and expectations from their organization.
- **Feedback:** Giving feedback on every step is also required within an organization to measure the success rate of a specific policy implemented and initiatives taken by the organization. In addition to this, it also helps managers to give feedback for employees' performance so that they can understand what is expected of them.

Career and Succession Planning

Purpose

The Career and Succession Planning component enables you to create, implement and evaluate succession planning scenarios. In Career Planning, you can identify possible career goals and draw up career plans for employees. You use Succession Planning to find people to fill unoccupied positions. Career and Succession Planning has two main goals. One is to advance employees' professional development within a company, the other is to ensure that staffing requirements are met.

Integration

If Career and Succession Planning is integrated with the

Qualifications and Requirements component, you can:

Create profiles for objects. You can include these profiles in Career and Succession Planning.

You can compare these profiles against each other (to see how suitable a person is for particular positions, for example).

Integration with the

Development Plans component gives you the following functionality:

You can plan and manage your employees' further training and education

Suitable development plans for eliminating qualification deficits are proposed automatically

See also the recommendations contained in the Integration section of

Personal Development.

Features

- The Career and Succession Planning component provides you with the following functions:
- You can create careers. These describe the various career paths possible within a company. Careers are used in career and succession planning scenarios.
- You can use a whole range of planning criteria when working through career and succession planning scenarios. These planning criteria are independent of each other.
- You can define user parameters to specify whether essential requirements, alternative qualifications or depreciation meter information should be taken into account in career planning scenarios.
- You can plan for a specific key date.

- To identify career and development goals, you can carry out career planning for persons and for other object types.
- To identify potential successors, you can carry out succession planning for positions. You can analyze the knock-on effects of succession planning by conducting a simulation.
- You can work through career and succession planning scenarios without taking careers into account.
- You can display a ranking list for every career and succession planning scenario. This ranking list is sorted on the basis of an object's suitability. Suitability is expressed as a percentage value.
- You can also define suitability ranges and thus structure the ranking list better (Customizing).
- You can specify how the system should handle overqualification when the suitability percentage is being calculated (Customizing).
- You can display ranking list entries by screen (Customizing setting).
- From the career (or succession) plan you can:
 - Access the profiles of all the objects displayed
 - Match up profiles with each other
 - Evaluate qualification deficits
 - Display training proposals and book courses (business events)
 - Access careers
 - Create preferences and potentials
- In career and succession planning scenarios, you can designate planning objects for positions. You can then include these designations for the rest of the planning scenario.
- If you have found a suitable position for a person, or if you have selected a person as the successor to a position, you can transfer the person directly to the position in question.

Mentoring – Performance Management

INTRODUCTION

In today's hard economic conditions it is important for companies to be successful and competitive on the market. Performance Management represents a strategically oriented and integrated process enabling a company to be permanently successful and competitive both as a result of permanent improvement of work performance of the organization's employees and as a result of permanent extending and deepening of skills of individuals and team in the organization. The article points out an underestimated tool of performance management which mentoring is. According to different international studies performed recently a system of management of performance is directly affected by the areas such as: financial results, productivity, quality of products/services, satisfaction of customers as well as satisfaction of employees.

MANAGING PERFORMANCE

Competitiveness of organizations in the third millennium is based on efficient utilization of intangible assets – particularly of human resources, on employees' creativity and on their ability to apply their skills and knowledge on their day-to-day work to bring as big efficiency and satisfaction of a customer as possible. Financial and

tangible assets are of course still necessary but that are often creativity, human inventiveness and long-term development of human potential which differentiates an organization and from the long-term point of view brings a competitive advantage. That means in practice to carry on development of human capital of a company emphasizing the talented and perspective employees. The importance of intangible assets – particularly of human resources in a competition fight – explains why every organization and every manager needs a system, a process, to be able to utilize human resources in the organization as efficiently as possible. If the organization utilizes principles of performance management at human relation management, it brings different advantages such as the following:

- Shareholders register better recovery of their deposits because people in the organization try to achieve the key objectives of the organization (synergy),
- Managers are much more successful than before because their colleagues and subordinates do right things in a right way,
- Employees' experience and work confidence grow, bigger possibilities to develop carrier, higher motivation and perfect employees' performance occur.

The system of management of work performance can be specified as a main process which allows to transform basic strategic priorities, values and particularly objectives of the company into performance or into particular objectives of every employee. It is based on the principle of interconnection of company performance management which defines key measures of performance into the highest level of management up to the level of particular objects of management (organizational units, work positions) and an individual system of performance management which defines both particular work objectives and required work conduct on the level of particular work positions (employees).

Effective performance management is a permanent and flexible process. It is based on situational leadership, principle of agreement, it does not rely on directive commands and control. It makes partners from managers and employees with an agreement between them which says that the employees will do their best to achieve common goals with support of management. Performance management should be focused on planning of the future performance, not only an evaluation of the past period. Particularly the gradual development in time is concerned. That's essential for regular and frequent dialogues between a manager and a managed one, either an individual or a team is concerned. Feedback, recognition of contribution for the organization and identification of further opportunities are more important than financial remuneration. Development aspects of a personality are more important than financial remuneration although salary depending on performance is one of the tools of the performance management [Vodák, Tesarovičová, 2009].

Performance management should have a form of a flexible process which adjusts to changing an internal conditions. Most of successful organizations are based on a procedural organization which requires an ability of big flexibility. Therefore also performance management must be flexible and it should develop and adjust to circumstances.

On a strategic, corporate level performance management represents utilisation of ideas of Balanced Scorecard methodology which is able to increase effectiveness of internal communication by providing a necessary frame to it in a significant way. It is also significant because it has shown the importance of human capital regarding to achieving the highest corporate objectives to managers.

PERFORMANCE MANAGEMENT TOOLS

If we follow the ideas of M. Armstrong then efficient interpersonal communication, feedback (e.g. 360°), coaching, mentoring, counselling are the main tools of the performance management. Also competencies which an employee should dispose of to deal with the tasks which result from their job title play an important role. The tools to improve the work performance of an employee the performance of who does not meet the expectations which have

been imposed at them or who is talented and has higher potential are an important part of the performance management which also contains creating of work tasks adjusted to a particular employee. To improve work performance of a unit or an organization in general the employees the work performance of who meets the agreed expectations are decisive. The main task of the performance management is to search for the reserves in performance and to search for the ways how to make good performance even better. Intensive development processes for performance and human potential assessment form an inevitable basis. It is required to reveal hidden talents within the organization because they are not used much. Further plans and development activities in the future should follow the information obtained from this process.

COACHING

An individual way of helping to an employee (talented employee) to improve their work performance and develop their abilities and skills – coaching is an important tool of the talent management. Coaching is applied at different occasions, e.g. when delegating a power to the employee or when conferring a new task upon the employee, but mainly it is related to providing feedback to the employee. Coaching is nothing new in essence, it is only designation of a process which good managers have already been applying for a few years. Thus it is a very common part of a usual managerial work. The manager leads the employee to realize how they perform their work. The manager tries to direct the employee to think about their work and to think of how it can be improved. He should also ensure that the manager does not only know what is expected from him but also to understand what he needs to know to perform his work. The manager encourages the employee to think of the problems and to look for their solution. However, the employees should also understand that if they are to take more demanding tasks and to develop their career, they have to improve their abilities, knowledge, skills and conduct permanently. Coaching is an interactive process through which managers try to eliminate faults in employees' performance through which they teach them the skills, they forward them the knowledge and instil them the values and required work conduct. It is an important method which consolidates human capital of the organization. Good coaching results in better performance, satisfaction with work and higher motivation. It also helps to improve work relationships of a manager with his subordinates and facilitates the manager's work. The trainings of skills are another way to eliminate faults in performance and to increase abilities and qualification of employees. As we have already mentioned above the development of skills and abilities of employees of the organization has big and irreplaceable importance in performance management because without effective education and investment in people no organization which wants to increase their performance and which wants to be successful can do. Successful managers realize what value the qualified employees which can cooperate purposefully, share the information and develop knowledge necessary for efficient work of the organization in today's globalizing and permanently changing world have for them.

MENTORING

You will probably agree if I say that coaching is a more discussed topic than mentoring. Coaching is at a much higher place in awareness of managers than mentoring and that is one of the reasons why we have discussed it in more details in our papers. To a certain extent the chaos in the fact that when and how to use coaching and when to use mentoring is understandable. The used methods are in essence the same with slight differences and moreover either in coaching or in mentoring there are more alternative approaches To be able to solve this dilemma let's say more about mentoring as a tool of development of talented employees in a company and growth of a company as a whole. What is the mentoring in fact? If we want to use some usable definition, we could say that: "Mentoring is about two people who have got to each other to help to each other to go forward in the work process to perform their work more easily and to organize their life." However, when talking about mentoring, it should be added that:

- it is creation of a relationship which is focused on facilitating of growth (improvement) of the mentee at work, in career or life in general,
- a mentor can utilize a wide scale of suitable approaches and styles (depending on the particular situation), in order to support growth of the mentee as well as possible,

- appropriately motivated mentor is able to bring significant benefits for the company, particularly if mentoring is a part of wider development programs in the company.

If we want to take a think of the purpose of mentoring, we will find out that it is:

- Finding a pattern or example
- from another person, who shows the prime behaviour to the person which is being mentored,
- Providing feedback
- that means somebody who the mentee can discuss their ideas, opinions and problems with without any worries, – Providing the source of information
- advice from somebody who has already experienced the same situations thus who has real experience with the situation the mentee is meeting,
- Enabling growth and development regarding to the situation, that means develop work experience and knowledge of the mentee directly or indirectly,
- Getting an advocate
- somebody who can help, represent or defend the mentee if necessary,
- Providing opportunities
- if achieving and preparing the opportunities for the mentee are concerned,
- Providing personal development
- help to the mentee with self-management and development of relationships to achieve personal and career goals.

In practice mentoring is not limited only into the above possibilities but it is adapted to limitations and expectations of the situation and character of cooperation at which the mentor and mentee agree in order to have it suitable for both. Cooperation of the mentor and the mentee (that means approach one-to-one) is a typical and classical model of mentoring. Usually the mentor is in the following work position:

- A person with the widest experience,
- A person at the highest position in the organization,
- A person who is not directly superior towards the mentee,
- Somebody who has been trained in mentoring skills,

Styles and Used Techniques of Mentoring

As there are many different mentors, there are also many different styles of mentoring. It should always follow higher level of suitability and thus also of acceptance of different approaches, adopting upon the situation, personality prerequisites of the mentor and the mentee. In fact it is a choice of a suitable, more or less directive approach. A less directive approach is built particularly on active listening, reflecting back, summarizing, paraphrasing and asking questions to improve mutual understanding. More directive approach is typical with orientating on suggesting solutions, providing feedback, open leading and giving instructions step by step. It is also important to what extent the mentor is able to stimulate mentee's learning using different challenges and support in harder situations which represent learning under load and sometimes can be quite stressful. It is not only a question of attitudes and personality of the mentor. It is usually very profitable if the mentored person is able to realize their behaviour in a stress situation and to take an important lesson from it. That is possible only at less directive

approach. If we use a more directive style which leads the mentee step by step and there is some extent of freedom missing there, we cannot speak about an effect of learning at own behaviour or faults. Of course there are the situations where the more directive style is more appropriate. Particularly they are the situations when it is necessary to find the solution of a problem very quickly or to negotiate on the problem and to direct the player in a right direction. In such cases asking the clarifying questions when using a non-directive style would be frustrating for the mentee. There are the situations when the mentee must face the situation which is a challenge for them and other time they need support and confirmation that they have taken the right way.

Contributions in Mentoring

Regarding to the mentored employee e.g. the following can be concerned:

- Increasing self-confidence and realization of own value (to esteem yourself),
- Increasing the ability to analyze and solve problems,
- Opportunity to think of different situations which he has not been to yet (or to see them from a different point of view),
- Increasing confidence, motivation and desire for results which he will present to the mentor,
- Extending of the horizons of knowledge and growth of aspirations,
- Increasing utilisation within the company,
- Faster learning using advice and leading of the mentor,
- Opportunity to build new career,
- Better orientation in the topic thanks to the mentor's experience,
- Better understanding of the higher management's thinking,
- Connection to a person (mentor) who is respected in the company,
- Getting an example who has been successful in the company, who has been proven (therefore he is a mentor),
- Better dealing with work situations which contributes to better satisfaction with work and life,
- Decreasing stress load and making the achieved results of higher quality.

If mentoring is meant as a targeted program of development which is systematically used in the company, the benefits are significant for the whole company. Some possible gains which result from performance of the programs of mentoring of employees for the company:

- Faster and larger transfer of knowledge of individuals and groups in the company,
- Higher level of employees' competencies,
- Higher potential to increase productivity,
- Better comprehension for the needs to learn and making the gaps in skills smaller, – Higher level of understanding of the questions of responsibility for development.

Prerequisites to Utilize Mentoring in a Company

In order to make mentoring useful for the company, some level of culture, relationships and approaches to employees' development is necessary. Without such a level of this base mentoring cannot grow and cannot bring the desired effects to the company. For successful application of mentoring it is suitable if:

- The company supports all employees that way that they are interested in their development within their position towards higher performance themselves,
- The corporate culture is sufficiently open and able to accept faults as a price for development and looking for new approaches,
- Open and mostly informal relationships between the employees work,
- Employees are proud of the company and aware of the sense of investments to personnel for success of the company as a whole,
- Mentoring is supported by company management downwards as a part of learning and development strategy. One of the remaining challenges is a question how to implement mentoring in a company in a best and non-violent way and when to use it in the best way.